



Qualification Programme Examination Panelist's Report

Module 10 – Business and Company Law (June 2025 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Written Questions

General Comments

This paper was three hours in duration and consisted of six questions. The marks allocation among the eight major topics was as follows:

1. Company Law: 30%
2. Law for Public Companies: 10%
3. The Hong Kong Legal System and Regulatory Authorities: 5%
4. Law of Contract: 15%
5. Law of Employment: 10%
6. Law of Prevention of Bribery & Corruption and Anti-Money Laundering: 10%
7. Law of Agency: 10%
8. Law of Tort and Negligence: 10%

This paper was set on the syllabus prescribed by HKICPA, which covers the important topics on business and company law.

Candidates performed well on questions covering popular topics such as the court system. This can be seen in Question 2(c).

Candidates also did well on straightforward questions, such as the employment status of an individual (Question 1), the fiduciary duties of an agent (Question 4(a)(i)), the converting of a private company into a public company (Question 5(a)), and the principle of separate legal entity (Question 6(a)).

Some questions required the candidates to demonstrate their analytical skills and apply legal principles to case scenarios with reference to case law and/ or legislation. Stronger candidates demonstrated the analytical skills required for these questions, while weaker candidates failed to perform well on these questions. More detail can be found in the specific comments below for Questions 3, 6(b), and 6(c).



Specific Comments

Question 1 – 10 Marks

This question required candidates to analyse the distinction between an employee and an independent contractor. Most candidates did well in this question.

Question 2(a) – 10 Marks

This question required candidates to discuss misrepresentation under common law and the Misrepresentation Ordinance (Cap.284). Most candidates explained what constitute misrepresentation and described the different kinds of misrepresentation. However, not many candidates properly discussed the application of the different types of misrepresentation.

Question 2(b) – 5 Marks

This question required candidates to discuss the remedies available to the representee of misrepresentation. Most candidates explained what the different remedies are; however, not all candidates sufficiently discussed the application of the different types of remedies.

Question 2(c) – 5 Marks

This question required candidates to analyse the jurisdiction of the court/ tribunal which hears the claim. Most candidates did well on this question.

Question 3 – 10 Marks

This question required candidates to discuss and analyse the law relating to negligent misstatement. It seems that some candidates did not understand the difference between the concepts of "negligence" and "negligent misstatement".

Question 4(a)(i) – 6 Marks

This question required candidates to discuss the fiduciary duties owed by an agent to his/ her principal. The overall performance of the candidates is good.

Question 4(a)(ii) – 4 Marks

This question required candidates to discuss whether Johnathan's act of receiving commission from Good Play without Bobo's knowledge was in breach of any fiduciary duties owed to Bobo and, if so, the legal consequences of such an act. The overall performance of the candidates is fair. Some candidates were able to discuss how the acceptance of a secret commission by an agent relates to a breach of fiduciary duties owed by the agent to his/ her principal.



Question 4(b) – 10 Marks

This question required candidates to discuss whether Johnathan may have committed any criminal offence under the Prevention of Bribery Ordinance (Cap.201). The overall performance of the candidates is fair. Very few candidates stated the relevant sections or the relevant case law in their answers.

Question 5(a) – 10 Marks

This question required candidates to discuss how to convert a private company into a public company. Most candidates did well and received higher marks.

Question 5(b) – 10 Marks

This question required candidates to discuss the requirements for listing a company on the Main Board of the Hong Kong Stock Exchange. The overall performance of the candidates is reasonably good. Some candidates answered this question in great detail, while some did not provide a detailed explanation.

Question 6(a) – 5 Marks

This question required candidates to discuss the principles of a separate legal entity and the limited liability of the members/ shareholders of the company. Most candidates did well in this question.

Question 6(b) – 10 Marks

This question required candidates to discuss whether the corporate veil should be lifted. The overall performance of the candidates is poor. Many failed to identify the legal issue of the lifting of the corporate veil. A few candidates managed to score some marks by quoting the relevant case. Some candidates did not attempt to answer this question at all. This may have been due to a lack of knowledge and/ or a lack of time.

Question 6(c) – 5 Marks

This question required candidates to discuss whether Jessica would be entitled to claim the properties legally owned by HGL if these properties have been paid for with HGL's funds. Most candidates performed poorly in this question. Most candidates failed to identify the legal issue of the assets of HGL being legally and beneficially owned by HGL if they had been paid for with HGL's funds. Some candidates did not attempt to answer this question. This may have been due to a lack of knowledge and/ or a lack of time.



(III) Conclusion and Recommendation

Overall, candidates performed well on topics such as the court system, the employment status of an individual, the fiduciary duties of an agent, the converting of a private company into a public company, and the principle of separate legal entity.

However, it appears that candidates may not have sufficiently covered the syllabus in depth; thus, many did not perform well on less popular topics such as negligent misstatement and topics which involved more complicated legal analysis such as lifting of the corporate veil.

Candidates are reminded that this paper aims to cover all topics to test the candidates' ability to apply their legal knowledge in specific situations. As a result, candidates are advised to study all important business and company law topics. Thus, it is not advisable for candidates to focus only on two to three topics.

Some candidates showed difficulty in identifying the key issues of the questions. As a result, many candidates appear to have chosen to write what they knew about the topic and thus failed to identify and discuss the specific issues of the questions. Candidates are reminded to apply the relevant legal principles to resolve the issues in the questions in order to score higher marks.

Most candidates were able to complete all the questions of the paper within the prescribed time, though some candidates did not answer all parts of the questions. Candidates are reminded to make a reasonable attempt to answer all questions. As most of the topics in the syllabus, such as contract law and company law, are governed by case law as well as legislation, candidates are advised to study and apply both case law and legislation when answering questions.